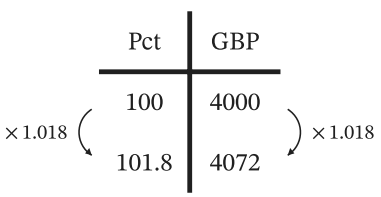
23 Luke invested £4000 in a savings account for 3 years.
Compound interest was paid at a rate of 1.8% each year.

Alexa also invested £4000 in a savings account for 3 years.
Simple interest was paid at a rate of 1.8% each year.

Luke got more interest than Alexa in total over the 3 years.

How much more?
You must show all your working.

1 mark
Find the first year's increase.



× 1.018 each year

1 mark
Compound for all three years.

Luke: £4000 × 1.018^3 = £4219.911328

Compound interest = £219.911328

Alexa: 1.8% of £4000 = £72 each year

1 mark
Fixed yearly simple interest.

Simple interest = £72 × 3 = £216

Difference = £219.911328 – £216 = £3.911328

1 mark
£3.91.

£.....

(Total for Question 23 is 4 marks)